were unrecognizably different, in 2019, compared with their organizational capabilities of 1934. But the RBI of 1934 has survived into 2019 without facing any competitive pressure, while having small changes in its organizational capabilities.

With private firms, we see something remarkable in the organizational culture of a Tata Steel or an IBM—firms that have managed to stay relevant over very long time periods. In government, in contrast, the oldest agencies are likely to have the most outdated internal arrangements.

Government's coercive power is qualitatively different

In a private firm, the levers controlled by the management cover products, production processes and the internal organization of the firm. In government, there is similar decision-making power about the internal organization of government. But the surpassing feature of government is the monopolistic power to coerce.

The state has a monopoly on violence. It is able to coerce private persons, either to pay taxes or to change behaviour. This yields a fundamental arrogance about state organizations, that private organizations do not suffer from. The puzzle of public policy lies in reining in employees who have the power to coerce, to prohibit, to raid and to imprison.

Government has greater complexity

A big firm in India has 25,000 employees. Compared with this, state structures are vast. Indian Railways has 1.3 million employees. Even if the efficient staffing at Indian Railways is half this size, it is a vast and complex organization when compared with what we see in the private sector.